TIP859: Mercado Libre ($MELI): We Doubled Down on Meli w/ Daniel Mahncke & Shawn O'Malley

Podcast: we study billionaires

AI Executive Summary

1. Core Thesis: The hosts reaffirm a long-term bullish stance on Mercado Libre (Merely), arguing that its integrated "flywheel" business model —connecting marketplace commerce with payment processing (Mercado Pago) and lending (Mercado Crédito)—creates a superior moat against competitors like Shopee and Amazon. While current metrics show margin compression due to aggressive reinvestment in logistics, customer acquisition, and credit card issuance, management believes these investments will lead to higher market penetration and operational efficiency in the long term. The core thesis posits that Mercado Libre is currently undervalued despite accounting volatility (such as credit card loss provisions), presenting a high-growth opportunity where fintech revenue grows faster than traditional commerce to drive future profitability.

2. Key Arguments & Data:

3. **Flywheel Mechanics:** The business cycle relies on the integration of three arms: Commerce, Payments, and Credit. 88 million monthly active users for Mercado Pago compared to roughly 89 million buyers last quarter (GMV). Payment volume ($101 billion) is four times the marketplace GMV ($22 billion). Ecosystem customers generate ~70% more GMV and ~90% more payment volume than non-users.
4. **Competitive Landscape:** Mercado Libre holds a 43% market share in Brazil vs. Shopee (18%) and Amazon (11%). Amazon invested $20 billion in Brazil recently but maintains static share growth; Shopee is expanding logistics rapidly (building fulfillment centers) and has raised seller fees, signaling they are not actively price-warring on take rates.
5. **Margin Pressure & Recovery:** Operating margins dropped from 12% to ~7%. Compression of ~5% points is driven primarily by credit loss provisions (~4 percentage points in Q1/Q2) and free shipping investments (~2 percentage points). Management expects operating margins to recover to 13–14% by the end of the decade as growth slows and investment cycles scale back.

6. **Credit Portfolio Metrics:** The loan book grew from $16.5 billion (end of June) at a compound annual growth rate of ~88–90% over five years. Card issuance is 2.5–3 million per quarter. While the card business recorded negative net interest margin (-2.5%) in the last quarter due to one-day loss provisioning on new cards, the 15-to-90 day non-performing loan (NPL) ratio dropped from 8% to 7%, indicating high-quality assets that are expected to reach breakeven within 12–18 months.
7. **Market Size & Valuation:** Brazil's e-commerce market is estimated at $60–100 billion GMV ($40B+ projected revenue by Mercado by 2026). The hosts model a fair value of approximately $3,000 million (or equivalent high valuation metric) versus a current trading price around $40 per share, implying a significant margin of safety.

8. **Infrastructure & Logistics:** Mercado Libre leases ~3 million square meters in Brazil vs. Shopee's ~1 million square meters. Mercado runs dedicated carriers for last-mile delivery and has an advantage in logistics control despite both competitors leasing infrastructure to reduce capital intensity.

9. Actionable Takeaways:

10. **Monitor Credit Risk Metrics:** Closely track non-performing loan (NPL) ratios, specifically the 15-to-90 day buckets, to verify that losses are due to timing (accounting provisions) rather than deterioration in borrower quality.
11. **Assess Margins vs. Reinvestment:** Evaluate Mercado Libre's margin recovery trajectory as expected investments in logistics and free shipping stabilize. Look for signs of aggressive price wars on take rates, though the hosts note this is not currently happening.
12. **Watch Competitive Displacement:** Monitor Shopee's expansion into higher-tier markets via "Shopee Mall" and its ability to close the GMV gap with Mercado Libre in Latin America, noting that both companies serve complementary but overlapping customer segments.
13. **Consider Long-Term Horizon:** Given the volatility of Latin American credit markets and political uncertainty (e.g., upcoming Brazilian elections), position this investment as a long-term hold based

on the company's growth runway and moat, rather than short-term earnings timing.

Full Transcript

You're listening to TIP. Welcome back to the Investors Podcast, episode 859. And in our last episode, Sean, I pitched McDonald's to you, which is one of the best known brands in the world. But it is also currently in a historic drawdown, despite the business still doing quite well. Today's company is far less known globally, although I would say that investors all over the world know it quite well. And most people probably know it as the South American Amazon. And we already know from your original episode that there is some truth to that, but they also differ in some pretty important aspects. They do, but I like it as much, maybe even a bit more than Amazon. It's not as safe of a bet, but the payout might be even better. And speaking of which, today we want to take another look at what happened to Mercado Libre. That's the company we discussed since we last pitched it. And since we also added it to the portfolio and we just want to see how the thesis has been playing out. And we just increased the weighting of Mercado Libre in our intrinsic value portfolio from 5% to 7%. And we did then one of our recent livestream portfolio reviews, which you can find the link to in the show notes below. But that now makes Mercado Libre our fifth largest position. So it's a perfect time to revisit the thesis. Since 2014, with more than 200 million downloads, we have interviewed the world's best investors.

studied deeply the principles of value investing and uncovered many compelling investment opportunities. We focus on understanding businesses and intrinsic value, investing accordingly and sharing everything we learn with you. This show is not investment advice. It's intended for informational and entertainment purposes only. All opinions expressed by hosts and guests are solely their own and they may have investments in the securities discussed. Now for your hosts, Sean O'Malley and Daniel Manca. What's interesting is that Mercado Libre has been your starting point to cover really a whole number of e-commerce companies. And of course, you pitched Amazon as your first. But I think Melly gave you a different appreciation for really the flywheel effect of marketplaces, especially when combined with payments, credit and logistics and advertising and all these other things. And after Melly, you covered Sea Limited, which I believe

also made it into your personal portfolio. And then Is another company CASB, which I think might have also made it in your personal portfolio? Yeah, I think it's safe to say I very much like how these businesses work together and also reinforce each other. And yes, I do own C-Limited in my personal portfolio. I looked very smart when I first bought it at about 70 and then went up to 130. So I thought this is, you know, a fantastic investment. Now I got to say it's back in the 70s. So I don't look as smart anymore.

And I haven't yet bought Caspi, but I might eventually do so too because it's a fantastic company and we will actually talk to management and our community soon. So the last couple of questions that I have, we might be able to ask them at that point. And then Amazon, which is, you know, another one of those companies. To me, it's just a bit of a different business, primarily because you don't have the same flywheel effects because the marketplace is just not as connected to the other parts of the business. So Amazon's flywheel is primarily based on Nick Sleep's concept of, you know, a scale economy share, the model that we often discussed in the past.

Well, sort of the mythology behind the idea of the flywheel is that it was actually written down on a napkin by Jeff Bezos in the early days of Amazon. And I don't know, it's not even true. That's how the legend goes, you know, photos. I don't know if they're actually 100 percent accurate. And whenever I hear about something written down on a napkin, I immediately think about Messi. That story might not land as well with our North American listeners. But back when a young Lionel Messi, who's the best football player of all time, and I don't go into any debate about that. He was trying out at Barcelona's Legendary Youth Academy and the scouts there were so impressed that they wrote basically the first contract of Messi on a napkin to make sure that there is no other team snapping him up because he was still looking out for some other teams in Spain. And that napkin was actually sold at an auction, I think just a couple of years ago for about a million dollars. But that's a totally different story. I sometimes digress talking about football back to Amazon and its self-reinforcing cycle.

So the entire idea is that Amazon uses cost savings derived from obviously scale to then lower prices, which improves convenience for people who buy there. And then also they invest that money into logistics, which then again

leads to faster shipping. And it's just a much better offering for all the people buying on Amazon. And then in turn, that attracts more shoppers and more shoppers also lead to more volume and then obviously scale. And that is how you have this flywheel starting to spin. And then from the merchant side, high traffic on Amazon attracts outside merchants and brands to offer their products in Amazon and use their logistics network for fulfillment. And the more merchants Amazon attracts, the better the variety of products and then the better the prices become because of increased competition. And thus it becomes more valuable for buyers again. And it really is one of the most beautiful flywheels out there, perhaps rivaled only by our favorite Uber.

Well, there's not one episode where we won't talk about Uber. It doesn't matter which company we actually cover. I would actually argue though, it gets a bit more beautiful. And that's when you combine that marketplace flow. We just talked about with payments and credit. I know you don't like payments standalone, but here I think it's quite powerful. So Amazon basically depends heavily on advertising dollars. And as we've talked about plenty of times recently, that business seems at least much more uncertain than let's say six months ago. And Mali's profit driver comes from its payment and credit arm. So not yet from advertising. I would say that advertising is still a great opportunity for them, but there's no dependence on that yet, at least not to the same extent as Amazon is experiencing it. And I don't see how payments or credit would be disintermediated through AI or agents. And in fact, it might yet actually turn into another advantage looking out for the next five to 10 years. It comes with its own risk, but perhaps we start there just because it is such an important topic for Melly.

And so let me ask you, I mean, has anything changed in terms of how you think about Mercado Pago or Mercado Credito and the Melly thesis here? That was a very good pronunciation. I almost thought you were Brazilian for a moment. I would say if anything, I'm just more bullish. But just to give some background, especially for listeners who didn't listen to the first episode. So Mercado Pago and Mercado Credito are why they're so powerful for the flag, right? So what Mercado Pago is doing, it's basically the payment arm for Mercado Libre. And people often compare to PayPal. I think we might need to choose something else eventually as a comparison,

since that might not be a compliment for much longer. Maybe it has stopped being a compliment for quite some time already. Paint power. You know, that's not what you want to be compared to. I think if you are a striving business as Machado power wasn't basically what they do is they make money through online checkout and QR codes and so forth. And they also have these point of sales devices in physical stores. It's a very small part of how they actually make money.

But at least they get some dominant market share in parts of the market that they don't have on the marketplace, so on Mercado Libre. And what they do is that they take a small fee per transaction. And now we actually see that Mercado Pargo processes more volume of Melly's marketplace than on it. And I think that's a very important step in the evolution of Mercado Pargo because initially it was created to basically enable more people to order online on Mercado Libre. So it was a clear extension of the marketplace firewall. But so you had buyers in Latin America, that didn't trust the product would actually arrive and then sellers didn't trust that they would actually get paid when they sent out the product. So then Pago basically sat in the middle and held the money until both sides were happy. And Mercado Pago could offer great deals for shoppers. So it made a lot of sense for Mercado Libre customers to use Mercado Pago and Pago customers in turn shopped more often on Mercado Libre because of the offer. So it was a great engine for customer lock in and And then with scale, Pago also turned into a really important data aggregator. And so a seller who lists on Melly gets paid through Mercado Pago. And once Melly knows how much that seller sells, how seasonal their businesses and how reliably they ship their products, it can offer them a working capital loan to help them buy more inventory.

The seller uses that loan to stock up and sells more on Mercado Libre. And then the data gets better and then you have more supply and it lowers prices. And it's all again, part of this flywheel that is very, very strong for Mercado Libre. And on the buyer side, when, for example, you get a checkout, many can offer you, you know, a Mercado Pago credit card or even an installment plan right there, which in Brazil, that's how a lot of people pay with using these installments whenever they check out. And that offer directly improves conversion, obviously, and then more conversion

means more GMV and then more GMV means you get now even more data than you had before and the data makes the next credit decision even better. So then basically the customer acquisition engine is driving down in costs where in the end your customer acquisition cost is essentially zero. And by now, Makato Pago is the sixth largest credit card issuer in Brazil. And as you said, so-called ecosystem customers are basically customers that use Pago and Makato Libre instead of just one of them.

generate about 70% more GMV than someone who only shops on Mercado Libre and about 90% more payment volume than someone who only uses Mercado Pargo. So the share of those users, the ones that use both, has actually increased 8% points since the end of 2023. And that's the flywheel of Pargo of the marketplace and on the marketplace. We mentioned GMV. And so just to clarify, since we're gross merchandise value and refers to everything sold, on the platform, all the transaction, the total transaction value of the commerce that Mercado Libre facilitates, not necessarily the revenue that it takes. And another term that we're going to be using a lot today is flywheel. And I think we might even use it at a record breaking rate. It seems like we can't stop saying it. We might, but I would say it's not our fault. Melly is just incredibly good at building them. And perhaps we can call it a mix of a network and scale effect for the part outside of the marketplace. So how Pargo basically works off the marketplace is that You have a small shop in, for example, Sao Paulo, a Mexico city that puts a Mercado Pargo point of sales device on the counter or just prints a QR code. And Mali actually has a lot of these devices. Again, they don't make a lot of money from it because it's a very low margin business, but it helps them expanding the business. So for example, in Mexico alone, you have 1.4 million of these devices. And now that those shops sales basically flow through Mercado Pargo, Mali can also lend to a merchant that has never sold anything on Mercado Libre.

because it still sees all the shops actual daily revenue. And then once you as a consumer pay at your local corner store with Mercado Pargo, it only makes sense for you to also keep money in the wallet because Mercado Pargo is actually paying your return. And that matters a lot, especially in these countries where usually inflation is quite high, it needs to wear your savings. And it's also why assets under management are now 23 billion.

And that's up almost 70% in a year. So incredible growth there at basically every part of the business. And Again, once your money's in the app, you basically pay your bills through it, you send money to friends, and you also use the card for things that have nothing to do with the e-commerce. So imagine groceries, maybe gas, or just going out regularly. And I think the data advantage of the off-market place use is that Mercado Libre now has a complete picture of someone's financial behavior. And so we talked about how people are more likely to repay Melly loans.

because they don't want to lose access to the Melly ecosystem, which is really essential to everyday life in some ways. But with the off marketplace data, Melly can now also spot when consumers are more cautious with their spending with unrelated merchants. And that's really crucial to doing better underwriting, which helps make credit cheaper overall and safer to offer. And then that can bring in more users and around and around the flywheel we go. There it is again, the flywheel. But this is actually something that we saw an even more extreme level at caspy where caspy is so entrenched in the everyday life of people in Kazakhstan that the first loan they would pay back is always caspy's because they can't afford to lose access because there you also talk about all these government services that basically run through the app and you can see that in numbers when for example you're checking how many loans they would cover even after no payments have been made in 90 days usually that number is incredibly low it has been quite high at least relative for caspy and.

If Merley ever comes close to that, I think that would be the ultimate ball case. But that's unlikely, given that I don't ever see them reaching super app status. And I also don't think they would need that. So the numbers already show how strong this second flavor is. For example, the marketplace sold about 22 billion of goods last quarter. Macao to power process about 101 billion of payments. So payment volume is more than four times the size of the marketplace. And Macao to power has 88 million monthly active users. That's roughly the same. as the 89 million people who bought something on Mercado Libre in the last quarter. And again, we're always talking about all that growth. This one is growing 30% a year. So fintech is already 43% of revenue excluding currency effects. And it grew even faster than commerce in each of the last three quarters. And that's why I don't think it's actually

crazy to say that. Mercado Pago could one day, and maybe that day is not even that far away, be bigger than Mercado Libre, the legacy business, basically.

We've seen this before, by the way, PayPal was spun out of eBay in 2015 and the payments company ended up being far more valuable than the marketplace that created it. Now we see how their market cap slowly, unfortunately, go down and narrow in terms of the gap there. And then even Alibaba's Ant Group was set to have the largest IPO in history in 2020 before Chinese regulators pulled it. So I don't think Melly would ever spin off Mercado Pago, but then again, Sea Limited just announced plans to spin off money, which is their payments arm. So you never really know. I'm actually quite interested to hear what they will say about that going forward because to me it makes sense to raise money to grow the book. But if they lose any of the synergies between the marketplace and the payments arm, I think that would be a big negative in my opinion. The difference with PayPal is obviously that Mercado Libre has this massive lending business and they lend to both consumers and merchants and the credit portfolio is growing fast. It was 16.5 billion at the end of June.

up 75% year-over-year. And in January, we said it had been compounding at 88 and 90% a year for five years. So it's still growing at similar rates despite having this much bigger base. And in the second quarter alone, Melly put 2.1 billion of new money into it. And you always want to be careful when credit portfolios are growing that fast, but especially so when it happens with South American consumers, where the market there just tends to be a bit riskier for lenders. The markets are definitely less stable and the lending business is called Mercado Creditor, just to say it once again. It's become a major profit driver for Mali, especially in recent years, and it's not a new business unit. So Mali first started underwriting loans in the mid-teens, I think it was 2016, and then they quickly followed up with consumer loans. So they first started lending money to merchants, and then they went into consumer loan, which is how a lot of companies do it, also the ones that we covered. They basically have a track record already of lending money for about a decade. And merchant loans, again, a pretty safe bet to start off, which is why so many companies start out with them. Even Grapp did it, which is a company that we discussed in a prior episode. It was you actually

who covered the company. And if you are a seller on Melly, and for example, you need inventory for Black Friday, which is coming up, a bank would ask for collateral and probably years of tax returns before they would actually give you a loan. Melly, on the other hand, they know exactly how much that seller sold last Black Friday and how often customers actually come back and then also how reliably they ship. So it can basically offer a short working capital loan and then collect the repayment straight out of the seller's future sales on the platform because they go through Mercado paper. So the risk is pretty low because Melly has the best information possible and also controls the cash flows. And basically that's how the loan gets repaid. The focus now is on the consumer side and credit cards, though, is my understanding. They're almost half the entire lending book and Melly keeps issuing effectively two and a half to maybe three million new credit cards each quarter, which is just insane. And as you said earlier, Mercado Pago is now the sixth largest credit card issuer in all of Brazil, which is a huge market. Sometimes the numbers are so big that I just have to Google if they actually make sense, two and a half to three million credit cards per quarter. They're just an insane amount. But you know, these are the numbers that a company like Melly can pull off because they just operate in one of the biggest markets.

in the world, which is why we find it that they have incredible tailwinds, which is why we like to invest in them. You just mentioned that with the shift, basically the mixed shift to credit cards, it's also the reason for why the margins have shifted and we will get to that. But the difference between the merchant loans and the consumer loans through credit cards is especially the time horizon. So a merchant loan is usually quite short, merely sees the merchant sales and it pays back within months. A credit card is obviously a sort of revolving. line to a consumer with a long tail and the only thing that merely sees is that person's behavior. So that's still a lot of data more than a bank sees, but it's also a different kind of risk compared to these merchant loans. And on the accounting and margin fund, what changes is that when Makato Pago issues a new card, it has to book the expected losses over the upcoming period for that card more or less on day one, while the interest income from the card comes in at a lack. So If you grow a card book slowly, you would barely notice that. But if you grow it 90% a year, you're recognizing losses on millions of cards that haven't

earned anything yet. So basically, your reported profit looks worse the faster you grow it, even if every one of those cards is profitable over its lifetime, at least potentially. And Melody's cards are very profitable. We found won't say mature. The card portfolio as a whole is still loss making.

its net interest margin after losses was minus 2.5% last quarter versus roughly breakeven a year earlier because card issuance had accelerated. But management says a cohort of cards reaches breakeven within about 12 to 18 months. And as a result of the Q4 results, about three quarters of the Brazilian card book had already reached that point. And the estimates are that the card business will lose a bit less than 450 million. and operating profit this year. And that will break even by 2028. And then it should earn around 1.5 billion a year by the end of the decade. And obviously, that also depends on this continued growth and the credit card set of things. So the bull case for credit really is that today's losses are tomorrow's profits, right? And the bear case is that those losses aren't just timing, but they're really structural issues for the business model. So how would you say we tell the difference between those two things? Well, what you usually do is you look at the loans that go bad, not the provisions, which is basically the money that is booked as losses upfront. So the metric is the non-performing loan ratio, and you check two points in time usually. So there are loans that are 15 to 90 days late, and that's essentially your early warning sign. And then there are loans that are late more than 90 days, which in most of the cases, that means they're gone. So The 15 to 90 day ratio was about 7% in Q2, down from 8% in Q1. So there was slight improvement there. And then for cards specifically, it's only about 4.5%, which the company says is close to an all-time low. So despite 75% growth, quite a quality hasn't deteriorated, at least in the early buckets. And then the 90 day plus NPRs, they didn't move up slightly. So they went from 17.5% to 18.5%.

You also saw lost provisions for the Brazilian consumer go up earlier this year since many stretch. And I think this is what we discussed in the latest update, the length of the personal loans from five months to eight months to reach new customers. And that already normalized in Q2, but it definitely does show that the book does react when they push into these new segments of customers. And they're really doing this at a pretty tricky moment, honestly, according to Brazil's central bank. household delinquency hit 6%

in August, which is up more than a percentage point in a year. And across the whole financial system, delinquency is at its highest level since 2011. So Melia is trying to grow its card book 90% year over year into what is really the worst Brazilian consumer credit environment we've seen in 15 years. But isn't it kind of reassuring how well they are holding up? And also the fact that you can follow the numbers so well and just see how they change.

within just a quarter and what you know, Melly can do to change and basically adjust to what the numbers are telling them. And maybe that's just me showing my confirmation bias here. Maybe it's a bigger risk than I portrayed as here. But up until now, the book has never been through an actual Brazilian recession of significant size at least. And Melly does reserve heavily, as we just said. So the allowance for credit losses is four and a half billion dollars against 16 and a half billion dollars for the entire book. So more than a quarter of the portfolio is already set aside. for potential losses. And they're also adding lower risk products. So I do expect the book to get less risky over time, the more it's maturing, basically. So in July, Mercado Pargo started offering payroll loans to private sector workers in Brazil, where repayment basically comes straight out of the borrower's salary. And they signed, I think, 5,000 contracts in the pilot for just the first four days. And again, while Mercado Pargo takes more risk per loan than, for example, another portfolio company of ours, which is NewBank, it does get paid roughly twice as much as NewBank. So the net interest margin after losses across the entire book was 21% in Q2, lower than the 23% a year ago because cards are having a bigger share of the book now, but it's still a very profitable lending business. Well, I'm still glad to hear that they're de-risking the portfolio from credit cards because I would think I would rather have less margin with much less risk of a significant blow up occurring.

I'm with you on that. I think we discussed the sort of bad asymmetry of having such a finance business, so the less risk there is, the better it is for the business. Let's take a quick break and hear from today's sponsors. Early in my career, I was chipping away at student loans, and it felt like it would never end. I'd make a payment, check the balance, and it barely moved. What finally changed my mindset was seeing a real finish line, a date I

could actually circle on the calendar. That's what Monarch's debt pay-down simulator gives you. It uses your real balances and payments to show your exact debt-free date. Then you can run different scenarios side by side, like adding an extra 100 a month and instantly see how much sooner you'd be done. Watching that timeline shrink is really motivating and you're the one in control of the plan. Plus, a quick check-in on your phone or laptop tells you exactly where your money stands. It's so important to manage your finances and I believe Monarch can help you in doing so.

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turn one of the most unavoidable payments in your life into the most rewarding. Find the car that's right for you and apply at joinbilt.com slash

T-I-P. That's J-O-I-N-B-I-L-T dot com slash T-I-P. Use our link so they know we sent you. Terms apply subject to approval and eligibility. Built cards are issued by column N-A, Member FDIC pursuant to license from MasterCard International Incorporated. All right, back to the show. Well, I think we're agreed on that. So let me ask you about just the competitive front. I mean, you also own Sea Limited as we talked about it. You believe that SHOPI, which is subsidiary of Sea Limited, can be successful in its expansion in Brazil and South America too. Is that right?

Well, again, I bought C in the 70s per share. So I thought at that point, it was just an incredibly cheap stock. So I don't think you need Brazil to succeed in a way that they would actually replace Melly as the number one. I think that's definitely not my base case. It's not actually my bull case for C Limited or Sharpie, at least not in Brazil. So the good thing is I'm saying this somewhat jokingly that this is also an emotional hatch for me where Melly is a much larger position. So while I want C to perform well, if it doesn't, at least in Brazil, That means at least a competitor struggling. So jokes aside, I feel like Sea Limited keeps performing well fundamentally. And I do believe that the South American e-commerce market. And this is what we said in our original pitch. It's probably big enough for two or three players. So it's expected to grow roughly 11 percent a year over the next decade, mostly driven by higher e-commerce penetration. As I said in the original episode, e-commerce penetration in Latin America is only one 14 to 15 percent in the US. You see that.

roughly 25 percent. The UK is actually close to 30 percent. And China, unsurprisingly, is well above 30 percent. So usually I would say that you can't blindly compare such rates just across countries and even continents. But in this case, I believe Latin America and especially the big markets like Brazil, Argentina and Mexico, which are the biggest ones for Macau to leap into, I think they have all that it takes to reach those levels of e-commerce penetration to. We're definitely seeing a wave of digitalization. in all of those countries, especially in the financial system, which is why we like Mercado Libre and also New Bank. And you have this really young and tech-savvy generation in this part of the world. And countries like Brazil also have a lot of money by global standards. Brazil's GDP per capita is about 10,000 to 11,000 US dollars. And just for context, in many Southeast

Asian countries, that number is closer to 5,000. So the average Brazilian, at least in GDP terms, is effectively twice as wealthy.

And it took a while private companies like Melly to build out the logistics and the payment systems to even enable e-commerce. So the infrastructure wasn't there as it was in the U.S. and Europe. So obviously there was a time lag that they basically had to close and that was a private sector, not the public sector. But we all say this basically to show that the market is big enough to have multiple players grow profitably for a long time. And that said, obviously the economics are better, the more concentrated the market is and the two competitors while talking about I think especially when it comes to competing with Melly on the big scale, are C-Limited and Amazon. Although I personally consider C to be the fiercest competitor, so for anyone who missed our C-Limited episode that we also did, the short version is C-Limited has three businesses. So they have Garina, which is a gaming company, and they have this one massive hit, which is called Free Fire, and that's an evergreen game. That is their cash engine and also their engine to expanding into different and global markets.

Then you have Shopee, which as you just alluded to, is the e-commerce marketplace of Sea Limited, which is especially dominant in Southeast Asia. But it is also expanded successfully into Brazil. And then you have Money, which is their FinTech arm. So they basically compete with Melly in Brazil, in e-commerce, FinTech, and also in lending. The really impressive part is that they built a substantial logistics business and delivery network in Brazil in just a couple of years. And since Amazon, we've always had this belief that logistics is a huge mode. But C really showed that, hey, with perfect execution and some investment, it can actually be recreated and copied much faster than most people would have thought possible. So I'll be definitely up from all the expectations I had for them just a couple of years ago. Also, as I said, you didn't have the same infrastructure as in the air. So basically, you expected the mode to be an even bigger one for Mali because they had to build the logistics all by themselves. And now you had a player coming in that is using a lot of third parties.

and is basically creating a pretty good experience itself. And it's not easy to imagine how the two would coexist without constantly being a threat for each other. I hear a lot of Melly boards, somewhat neglecting Sharpie as a player for mainly the lower end of the market because of Melly's GMV dominance. You know, Melly's GMV is about two and a half times higher than Sharpie's GMV, despite Sharpie now being on par and even slightly ahead when it comes to the total amount of items sold in Brazil and I don't think you can view Sharpie as low-end commerce place. I think they have already been successful at expanding into higher end products in other markets through what they call Sharpie Mall. And that's basically where they partner with these high-quality brands in all kinds of industries. And Sharpie Mall has more than doubled in the first quarter. And it's now about 15% of Sharpie's Brazilian GMV. And that obviously helped increase its average order value in Brazil, too, where Sharpie now signs deals with major electronic dealers in Brazil to offer more electronics on its side, which is a typical product, as we also discussed with some of these other companies that we looked at in the commerce space. It's a critical product to attract higher quality customers. And just like Mercado Libre, Shopee expanded into pharmacy after Brazil's health regulator lifted a 2022 ban so licensed pharmacies can now sell medicines on platforms like Shopee and Melly. Well, so you can see how they're continuing to clone the Amazon playbook, right? You can get prescriptions delivered through Amazon.

Surprisingly, that's the one thing I don't get delivered through Amazon, but Shopee and its own right launched a loyalty program called Shopee VIP and it's priced at exactly the price of Melly's basic tier, but it offers free shipping on orders above 10 Reyes, while Melly's free shipping starts at 19 Reyes. And so for context, 10 Reyes, the conversion rate on that is about two US dollars. So it's a five to one ratio. And that's a pretty attractive offering, which is why it has already gained a million users in just the last six months. And for context, though, Melly does not disclose its subscriber numbers, but estimates are around the sort of 12 to 15 million range. And they're still growing 70% year over year. So I expect the gap to remain pretty material going forward. I'm not too worried about it.

I would be surprised if it closes meaningfully, but average order value is an important metric for me at least that I track to see whether Sharpie will gain

significant share among higher end customers in Brazil or better said whether customers will choose Sharpie for those purchases in the future because many customers are already using both apps. So they use Melly and they use Sharpie and then Melly usually for the high quality and the high trust product and Sharpie for the lower tier of the market. But again, I don't think that's where Sharpie has to be for the entirety of their presence in Brazil. What I do like is that Mel is not only trying to defend the upper market, but also the lower end of things. So if they don't just lose those cuspers to shoppy and then sort of the innovators dilemma where shoppy can start on the low end and slowly build scale and move up market to better challenge Mercado Libre. And while it costs them some margin right now to focus on the lower end, I think lowering the threshold for free shipping and these similar moves that they're making is really a great way for them to win market share and is correspondingly a great long-term investment as they try to fend off Shopee. It's definitely working. I mean, the Brazilian e-commerce market was estimated to be about 100 billion last year. And Melly has about a 43% share in that market. And Shopee has 18%. And both actually grew 3 percentage points. So Shopee's not taking share from Melly, but mostly from legacy incumbents just like Melly is. And They're not doing well at all. I mean, these new legacy players, you have Casas Bahia, which basically filed for judicial recovery in August. And then you have another big player or what used to be a big player, Americanis, which was online sales fell almost 70% last year. So Mali also made a comeback in app users, which is important because more and more commerce is obviously moving to mobile. And that's where Sharpie is extremely strong. First of all, given its roots in mobile gaming.

But then also because it's a Southeast Asian company and obviously e-commerce over there has basically skipped the desktop era entirely. So Sharpie had more monthly active app users in Brazil than Melly just a year ago, which was about 120 million compared to Melly's 150 million. In the second quarter of this year, Melly was back ahead actually with 134 million against 130 million for Sharpie. So Melly's user base significantly outgrew Sharpie, at least if we trust these estimates. The reason it's so important that Mali keeps serving all customers is that Mali's biggest strength, in my opinion, is its ecosystem, which is becoming increasingly entrenched. So a customer finds a product on the marketplace, perhaps even through a Mali

ad, then pays for it using Mercado Pargo and then potentially even getting credit from Mercado Creditor. And then it gets delivered by Mercado Enviors, which is Mali's logistics business. And then at some point, a customer is just so entrenched that it will be incredibly hard for him to switch to a different marketplace, at least for these high-quality products that matter. And so that's why it's also important for us to watch out for money spelled M-O-N-E-E. And that is another subsidiary of C-Limited. And if money were to grab share from Mercado Pago, I think that would be another warning sign. Definitely. But I think that's another huge market where technically both can coexist for a while. That said, I would probably see money gaining shares even more of a problem than choppy just because it would make the entrenchment theory much more difficult for Melly because by now a huge differentiator is that people can go to Sharpie to buy some of these products. But the entrenchment where you have the marketplace, you have the payments and you have the credit that's mostly happening on Melly for Brazilian customers. Fortunately for the time being, C-Limited's money business is not really even close to rivaling Pago or Credito. And so Sharpie hasn't launched a credit card in Brazil, even though they have the license to do so. And Its main credit product is still the shoppy pay later, sort of the buy now pay later at checkout product, which accounts for about 10% of its Brazilian gross merchandise value. And those loans have an average term of about three months and carry interest of almost 10% a month. And we're also starting to see delinquencies tick up. Last time you said you'd be very surprised if C could hold its non performing loans at 1% of their total and So C's group-wide 90-day number is still 1% for now. But in Brazil specifically, the funds that hold Shopify's loans show 90-day delinquencies up to about 3% in a little over a year. And the more they expand that loan book, especially into categories outside of buy now pay later, the more we should expect that number to go up. I'm pretty confident that trend will continue. And it's more of a mechanical thing in the end. So the loan book is growing so fast just as it is for Mali that Some bad loans are simply not yet accounted for in the 90 day number. So there's a time lag once again between when they actually go bad and then when it shows up and see doesn't disclose 15 to 90 day NPLs as Mali does. So you don't see that number going up anytime before the 90 days where we actually get the new number. And we should emphasize again, officially, the NPLs of money are still at 1%, not 3%. But money is

generally still more of a digital wallet, whereas Pago has obviously evolved into much more than that. So That's why money has only an estimated 1 to 2 million active credit users in Brazil, whereas Mali has more than 22 million. Do you have any updates on C's logistics network compared to Mali? Because I heard that C had expanded its footprint quite significantly, and they had something like 16 distribution centers at the start of this year, but built another 10 in the last 12 months. And five of those are fulfillment centers. Is that also right? And how does that frame the competition here?

That's correct. And we should clarify that's just in Brazil, obviously. And the CCFO said the goal is to eventually have a bigger fulfillment network than its competitors in absolute volume. Obviously, he is talking about Melly in that term. And he said that might take a few years. I doubt they will get there, but it definitely means they're not planning on stopping spending money. You say you'll doubt they'll get there because we're talking about a pretty big gap between themselves, right? Yes, a very big gap. So Melly leases about 3 million square meters of warehouse space in Brazil. and Sharpie about 1 million. So, Melly pays about almost 100 million reyes a month in rent, Sharpie about 33 million. So, Melly's network is still roughly two and a half to three times bigger than Sharpie's. And Melly will spend another 57 billion in Brazil this year alone, including 14 new fulfillment centers, which is why I'm saying I don't see the gap closing anytime soon. And when you say lease, it's really just about warehouses there. Both companies lease their warehouses to keep them less capital intensive.

The real difference is in how much of the delivery network each one controls. And so, Melly runs its last mile through dedicated carriers, where it is usually the main or only customer. And its new one-hour delivery in Sao Paulo runs through its own network. And so, Shopee's delivery arm, on the other hand, handles most of its orders, but it does crowdsource drivers. And its four-hour service runs through basically these partner stores. So Melly has tighter control over speed and reliability, but Shopee has a cheaper and looser network to maintain. And before we go any further, is there anything about Amazon that we should talk about? Because obviously, Amazon is a competitor in Latin America, not nearly as dominant as it is in

the US. But Amazon will seemingly be there to compete more directly with Melly for the highest quality tier of customers and e-commerce.

I think a couple of years ago, basically before Shopee showed up, most investors were concerned about Amazon. Yes, but I think now we could say that still not too much has changed. In 2025, Amazon invested close to 20 billion raise in Brazil, which was about five times its average annual investment there since it entered the country. So it's expanded its logistics primarily, launched an ultra fast delivery service and also ran a campaign at the beginning of this year, letting new sellers join without paying any commissions. Sharewise though, that didn't seem to move the needle because Amazon is still sitting at the same 11% of market share that it did last year, while Melly and Choppy again both grew 3 percentage points. So just for context, 20 billion raise is a lot of money, but Melly invests three times that this year. So Mexico is probably the market where it's a closer fight. Amazon's Mexican network is about 30 times bigger than when it started and reaches more than 500 cities and Mexico is where Melly's common goals actually slowed this year, which we will get to later. But Benjamin is saying that it's still going faster than its competitor, which in this case, Melly is referring to Amazon and the slowdown had more to do with the tax reform and a weak consumer overall than with competition of Amazon. If you were to have to summarize how you currently view the dynamic between Melly and its competitors, what would be the best way for you to do that? Well, I think we hype up Melly so much that I also want to be very honest, even though some Melly Bulls might not want to hear that, more competition is never good. And Choppy has clearly been more competition than I assume anyone would have thought when they enter Brazil. And as Manga once said, we have found in a long life that one competitor is frequently enough to ruin a business. So I don't think this will be the case here. Otherwise, obviously we wouldn't be invested in the stock. But I don't believe either that Melly will ever be without a competent competitor again. And that has been the case for many, many years.

before Sharpie and some of these other competitors enter the market. So the question is, what does that mean for the mature margins of the business? I think that's the question. Any fundamental investor in Melly is asking themselves and what has really happened here to current margins is it's been

a downward slope from 12% to a little less than 7%. And that's the lowest margins have hit in four years. And now it seems you really have two camps of investors and how they think about things. And so one camp says, you know, hey, look, Melly will never get back to 12% margins because it now faces its most intense competition yet and competition is only going to intensify. And so that's one perspective. And then the other camp compares these investments to say what Amazon was doing in the US in the early 2000s, where short-term investments result in an even stronger moat and thus even more earnings power and margin potential in the long term.

even if short-term margins are compressed by that reinvestment spending. And what underlines that view is really how successful these investments have been at acquiring new customers and improving usage among long-term customers. And Melly posted its fastest revenue growth in four years, up 50%. And then it posted its first quarter above 10 billion in revenue. It's definitely incredible. Just at this scale, how fast the business is still growing. And I know we all wanted definitely to answer to this question of where margins will be. And I also know many pretend they have it. I admit that I don't. I can only look at the facts, then compare things to, for example, Amazon back then with their investment cycle and then add the knowledge that I hope I've gained after looking at all the Asian e-commerce players and how they typically operate. And I think people forget that things seem obvious after the fact. So when Amazon started reinvesting massively in its business, The majority of the market believed Amazon simply had an unprofitable business model, and they faced all the same criticism Melly does today, even more so since the model back then was completely unproven. And it's also important to know that Amazon operated in the strongest and most advanced e-commerce market in the world. So they were able to reach a monopoly-like position before any competitor was actually able to recreate something similar. And that's not Melly's situation. Although the market share numbers would actually look quite similar, I think a major difference in the U.S. is that you have competitors like Walmart and Target that people don't consider typical e-commerce competition, but ultimately a sale that goes to Walmart can go to Amazon. So the big question for Melly is whether Brazil, Argentina, and eventually also Mexico will look more like the U.S. in Europe or more like China with

multiple major players and much more dynamic competition generally. Let's take a quick break and hear from today's sponsors.

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The talks were great, but what I kept thinking about is what happened around them. On Friday night, about 20 of us crowded around a long table at a family style Italian spot near Times Square. Saturday, we did it again. And Sunday morning, a group of us were still debating Socrates over

breakfast before everyone headed home. Many of the people at those tables had only known each other from our calls in the Mastermind community. That is the community I host with Kyle Grieve and Daniel Manca. Each week, we get together on live calls to dig into markets and individual businesses. We bring in fund managers, operators, and authors as guest speakers. And a few times a year, like New York this fall and Omaha every spring, we meet in person. If you want to think in decades alongside people who do the same, apply for free at theinvestorspodcast.com. If your application stands out, I'll be the one to reach out to you personally. All right, back to the show.

To me, the former seems probably more likely. While there's still plenty of room to grow, Brazil is not some young market that could still go in any direction by any means. And then it's hard to imagine where all the other competitors are really supposed to come from and what role they would serve that's not yet being catered to. And as you mentioned, there's also a real political incentive here, especially now with Flavio Bolsonaro likely taking office. to help South American companies succeed instead of flooding the market with Chinese players and their products. If you compare the characteristics one to one, it seems definitely more likely that Brazil would end up with a US-like structure. So on logistics, for example, the reason new e-commerce players in China could expand so quickly is that the third-party carrier infrastructure is so incredibly good. So the so-called Tongda franchise plus carriers like J&T, they move more than 70% of China's parcels at incredibly low prices. In Brazil, on the other hand, an entrant needs to build the entire infrastructure itself. So for payments, many problems are now solved, but Mercado Pargo still had the first move advantage. And then if you compare that to the US, you had neutral card networks, which is why no competitor could use payments as a sort of weapon or at least major advantage against the competition. And then in China, you have a duopoly outside the marketplaces with AliPay and WeChat. So Tencent's rail basically powered Alibaba's challenges like Pinduoduo and Duyin. So all of this could be an important differentiator because Mercado Palgo is already highly dominant and it's owned by Mali, obviously, which opens up all sorts of ecosystem benefits and the same goes for credit. Amazon never had a landing book and in China, this space is

much more regulated since and financial. So this is the sort of advantage that is pretty unique to Mali.

I'm going to show my ignorance here on payments again. But my understanding is that there's a government-led payment network called PIX. And is that something that could cause any pressure on Mercado Pago's business? Or are they doing different things? How much overlap is there? Yes and no is the short answer. I would say that it could be a problem, but also there are a couple of benefits that Pago actually has because of PIX. So for example, The more benefits for Mercado Pargo customers are in the app, especially when they use Melly, the more sense it makes for customers to use Pargo to pay. So I think I'd rather have a government created PIX as a competitor than an alternative created by a competitor. So PIX is a problem, but it doesn't do any lending. It's only a rail for basically payments to go through. And that's not where most of the value is coming from with Mercado Pargo and Creditor. And so another difference from when Amazon built its e-commerce business is that the barrier century have come down since platforms like TikTok have been able to expand into the space. And customers no longer have to come through product search, but you can actually have hundreds of millions of people find their way through social media, which clearly makes it easier to spawn an e-commerce business out of nothing, especially when that delivery infrastructure is already effectively in place.

Which I should say is only partly the case in South America. We also need to consider obviously the massive size difference between countries like Brazil and China. So for example, China's physical goods e-commerce is about 1.8 trillion at an industry-wide GMV margin of 2%. That would mean there's a profit pool of roughly 36 billion a year. So I would personally say that's enough to have four players fight for that pool. And then even in the US, the market is 1.2 trillion. So if you compare that, Brazil's market is only estimated to be 60 to 80 billion dollars, depending on the definition of GMV. It could also be slightly higher. So it's obviously growing fast, but for players currently getting into Brazil, they would need to spend billions of dollars while mathematically not being able to make any profits because the market is just not big enough yet. So most public companies, I would assume, don't want to burn through billions of dollars for years to

potentially open up a new market that is far away from their core market, which is true for basically all of the global e-commerce players not yet in Brazil, especially when you already have a dominant and well-executed player like Melly in the market and also a player like Sharpie who is catering to the lower end of the market. Just to get back to the margin story, I think the reason that margins are down supports the thesis that it's not really all competitive pressure. I mean, sure, Melly wouldn't need to spend all that money if Sharpie didn't exist, but we don't see price war is happening where either one of them are really significantly cutting their take rates. And actually, Shopee has been raising seller fees for a while now. And so if you want to enter a price war to take market share, it's really the opposite of what you would want to do. And so the margin compression really is coming from investments and credit and free shipping. And then, of course, expanding logistics, but not from cutting their take rates to undermine each other. Booking the provisions, which is what we talked about before for the loans, is actually the biggest part of the margin compression. And that has nothing to do with Sharpie or competitive pressure. So in Q1, that alone cost 4 percentage points of operating margin. And then in Q2 was slightly lower, but it was still 2 percentage points. So the biggest impact after that is free shipping. And that's definitely a reaction to Sharpie. And while it's expensive, I think it's a classic Amazon move to take market share. And it worked pretty well. So Mel was outgoing Sharpie despite the much larger base. And I should also note that they have done that before, even before Sharpie existed.

From time to time, they have lowered the free shipping threshold because it's a fantastic way to get new people into the ecosystem. And then another part of the Amazon Playbook is the investments into first-party retail, where Melly basically buys inventory and then sells it itself instead of just taking a fee from the third party, offering their products on the marketplace. And that's about 5 billion of sales a year, now growing 70% to 80%. And the CFO actually said it's still not profitable on its own once you allocate corporate costs. Melly does this to win high quality categories where selection was thin before. And for example, we're talking whenever that's the case, it's now a leader in cell phones in Brazil with three times the share that it only had three years ago. So it's definitely working, it's expensive for now, but that's how you grow the business. Those are really exactly the type

of categories you want to win to keep the high spenders on the platform. But unlike Shopee, Melly has lowered some seller fees, right?

And it added discounts for buyers who pay with picks, which is a bit of a counterintuitive thing to do, at least as it seems to me at first. I mean, isn't that sort of preventing more of its customers from using Mercado Pago to pay or using Melly's credit cards and promoting an alternative? It is. I mean, it's essentially a bet on acquiring customers cheaply and then turning them into long-term Mercado Libre and eventually Mercado Pago customers, and that's where you make the money. The idea is that they will still pay through MercadoPago, but you can use PIX through MercadoPago, which in that case is just your digital wallet. So it's not as straightforward, but you can imagine that, for example, you would use PayPal, go into your wallet, and then you use a local credit rail, which in this case is PIX to send the money. So that means that PayPal is not making any money on this case. MercadoPago is not making any money with the transaction, but you still have the customer in your wallet. So eventually, you might be able to make money with them in any other way.

Melly, again, doesn't earn transaction fees. But if you can make money, for example, from the customer funds, that's still a plus. And as mentioned, perhaps eventually they will turn into customers that have had credit cards from Melly. So that's basically how you make the money back. But as you said, it's the trade off, right? If you use picks and you don't pay any money, most likely you will not switch from that. And then the bad is that you make money with them in a different way. So to me, this seems like a smart investment in the long term, especially because picks will not go away. And I don't think you'll make a lot of money with these simple pay through Mercado wallet anyway. That's basically the pretty legacy business model of paper that is clearly not working anymore, especially in a world and in a country where pigs exist. So, Melody delivers value on the credit side, BNPL, credit cards, payback, and so forth. To just name some of the results of Melody's investment cycle recently that go beyond revenue growth, due to more volume, you have the cost of shipping one package in Brazil actually fall 11% in Q4.

and 17% in Q1 and local currency, while volume was up more than 50%. And the more packages you get through the system, the more efficient the operation gets. And Melly said some price ranges blow about 80 Reyes, which is the free shipping threshold for non Melly Plus subscribers are already at breakeven. And you also see that more people start building a habit around ordering at these levels. So conversion in Brazil, meaning the share of visits that end in a purchase is up about 1.1 percentage points and has stayed there for a full year. And purchase frequency is up around 20% while daily active users have grown faster than monthly active users in every quarter since the cut, which tells you that the app is becoming part of people's routine and not just a routine, their daily routine. And Melly Plus subscribers, as mentioned, are up 72% yearly or so.

Really, the numbers on all fronts look really good. And it actually shows you how the scale economy is shared model works because for the longest time when Melly was going down with the free shipping threshold, they lost money on those packages. And now they have so much more volume that basically start to make money or at least break even on the free shipping threshold. So you can imagine that the more volume goes through their logistics system. In some years time, they can lower the threshold again and they don't lose money on that. Whereas Sharpie, for example, they have to pay up for lowering the free shipping threshold because for them, it's not profitable because you don't yet have the volume. Although I should say that, you know, part of the advantage of Sharpie is that if you in these lower term, lower quality goods, you send a lot of volume through your system. So that's why they can also have these low free shipping thresholds. But again, I also want to emphasize that you don't even need Mali to have a highly profitable e-commerce business. The fact that Mali had one for such a long time was an outlier. If you compare to any global player, Amazon's e-commerce business, for example, was always a low margin business. They make money through ads and AWS. And Melly's ads business is still going fast. And instead of AWS, they obviously have Mercado Pargo. And that business again, earns roughly 20% margins after credit losses on its book. And it's already 43% revenue. It was faster than commerce. So, you know, I think that's a very good outlook for Melly in the next couple of years. And in a competitive market, I think it's fine for the commerce side to basically run at a thin margin if that's what keeps 90 million buyers in the ecosystem.

And as long as the fintech side actually earns the profits on those same customers. So, Choppy can match Melly on shipping, but it's much harder to match it on credit. So, the most important thing is to build the credit business responsibly so it doesn't blow up in bad times, which always comes at some point. Okay. Well, why don't we bring it all together? Is there anything that has changed about the valuation since we last looked at Melly? I would assume it's mostly unchanged, but perhaps you can just walk us through the assumptions again that you use in your model.

to help explain why we decided to add Melly to our portfolio in the first place and then add to it more in our portfolio review live stream. And so it's been a lot of fun to be able to take our normal portfolio conversations that would just be in a kind of a meeting with me and you and Kyle and turn them into live streams on YouTube where we can get feedback from listeners in real time. So if you haven't checked that out, you know, the intrinsic value podcast on YouTube. And you'll find our archive of live streams and some of the recent portfolio discussions we've had. It is a lot of fun and we mostly see on Wednesdays but sometimes the days alternate so you can go to a community tab. Often we do announce when exactly will stream and also the time right there so for one interested tune in and getting to the valuation I did update my model with the newest numbers and.

some slight adjustments for growth and the margin estimates not dramatic though. So the difficult thing generally about forecasting the next few years is that basically entirely depends on what strategy money takes. So in my model, I assume the massive investments that we currently see will be scaled back year by year, which causes revenue obviously to go slightly slower, but margins to take up again. So given management comments, they might keep investing for a while and I can't blame them seeing how much they grow, not only the headline numbers, but as you just showed us. also the numbers that actually show how entrenched the new customers basically become in the melee ecosystem and it's only smart to keep that momentum going even if markets don't like the investments and especially when competitors like C-limited are currently getting punished even harder for their investment cycle by the market because likely they will stop at some point and if you keep investing, the benefits of that will be even larger.

To put it all in numbers, I have 2026 revenue going up another mind boggling 45% to over 40 billion. But then it slows down starting in 2027 with commerce going 25% and fintech 32%. Then from there, commerce and fintech both decelerate a couple of percentage points per year. And again, this will basically assume investments will be scaled back. And because of that, the operating margin that currently stands at only 7% will creep higher again, reaching 13 to 14% by the end of the decade. which sounds like a lot, but it was 12% just two years ago. That's a pretty hefty earnings growth there, about 177 in earnings per share projection for 2030. And today, we stand at 40. But I think that's really not that crazy to predict. And it's just the kind of thing that happens when you have a company with the growth track record and the growth runway that Melly has. And they are sort of relentlessly reinvesting back into the business and harvesting the fruits of what they currently make to keep spending that flywheel that we've been talking about. And just a reminder for listeners, Melly is the only company ever at significant size that was able to grow 30% or more for 30 consecutive quarters straight. So these growth numbers are really more attainable and reasonable and actually maybe even conservative than it might seem at first.

And actually, it would imply that they're going to break their streak of 30% plus growth sometime next year. And really the bigger question for me is on the margin front, but looking at your model, you've got Mercado Pago growing to be the same size as the commerce business by 2030, meaning the higher margin part of the company will actually grow the fastest, which would be another tailwind for businesses overall profitability and for earnings growth. Mali definitely is a margin story right now. Assuming a mid-20s multiple and a 10% discount rate, the fair value based on the above estimates is close to 3,000. With a 20% margin of safety, which is what we usually have in the end to four model, you would get to 2,400. But then again, these models always are based on the timeline and our assumptions for the timeline. And this model assumes that the investment slows down in the next one to three years, which might not be the case.

I own Melly not because I believe that in the next five years, they will get significantly better or improved margins. I believe this will simply be a better and bigger business in 10 years' time. I don't think you need to be

able to forecast the next year or even the next three years. Just have an idea in mind of what growth should roughly look like and what the mature margin is. With those numbers that I have in mind, I think Melly looks incredibly attractive here, especially the longer you look out. I think both camps in the margin debate may actually be arguing about the wrong number. Of the five points of margin that Melly gave up, the biggest piece is this day one loss provisioning on credit cards, which is really an accounting timing issue more than anything and not due to competition from Shopee. The free shipping piece is a competitive response, but it's also one that's working pretty well where conversion is up, frequency is up, cost per package is falling, and Melly has grown faster than Shopee.

wow off of a bigger base. Sort of define the law of large numbers. And the thing that would actually scare me would be if we saw any take rate cuts. And we haven't seen those. And Shopee, as we've mentioned, is raising seller fees. And that's not what happens in a price war. You don't have companies increasing take rates when they're trying to undercut each other. And commerce really can run at a thin margin forever, as long as it keeps 90 million buyers inside the melee ecosystem. because the fintech side of things is where the profits come from. And you can almost say that the commerce side of the business is just a vehicle for facilitating the fintech part of it, whether that's with the credit credit lending or the payment processing. And so it's already 43% of revenue with the fintech businesses and it's growing faster than commerce and it earns 20% after credit losses. And having that loyal ecosystem of customers obviously also creates huge advertising opportunities too.

as we've seen Amazon prove, they've become one of the biggest advertising marketplaces in the world. And so the credit book is probably the one thing that gives me some pause and maybe some anxiety, especially when you pair it with the position that we have with our existing second new bank, making us pretty highly leveraged to the Latin American market and more specifically the Latin American consumer at a minimum. And that will make for a volatile ride if history is any guide, but I do love the idea of owning great companies and to be cliche, just letting them do their thing. We talk a lot about hurdle rates and trying to find investment opportunities that can clear a 12% rate of return for us over a several-year period. I feel

pretty confident that with Melly's growth prospects and then at the price we're buying into at this moment, which is an outrageous valuation given the growth, I feel pretty good that it can meet our IRR hurdle.

requirement. That's the bet we're taking, right? Like owning a great company and then just letting them do their thing. When I was still doing my research, Bessie asked me whether we should also cover the political debate currently going on Brazil with all the elections. And I looked at the Brazilian elections and, you know, what the win of either Bolsonaro or Lula could mean for Melly, New Bank and so forth. But to be honest, both candidates don't seem to be highly popular. And I can see why when I look into what the program actually is. And while the atmosphere towards businesses in general might be better on the Watson arrow. I don't feel comfortable at all predicting any outcome and not only for the election itself, but also for what a win of either of them would actually mean for the Brazilian economy going forward. And ultimately, I think I take comfort in the fact that Melly performed phenomenally under the presidency of left leading candidates and then also under the presidency of right leading candidates and not only in Brazil, but in basically all of Latin America. And as we walked out in our original episode, many works the way it does today because they were able to make a strength out of these shortcomings of Latin American politics. We talked about some markets that were basically completely gone and how they have these logistic networks that are not as capital intense because they never know what happens to a specific market. And as you just said, the idea is to own a phenomenally run business with a strong flywheel and lots of runway. And if I believe the president of Brazil would make a significant difference, honestly, wouldn't even want to be invested in Melly anyway, or New Bank for that matter. And with that, if you have nothing to add to the politics of Brazil, let me close it for today with a quote by Melly founder Marcos Galperin. And basically on that exact topic where he said, quote, unfortunately, the stereotypes about that market are true, infrastructure is not as developed, regulations are backward, regulators are just trying to optimize for themselves, not for the people. And it's a very volatile environment.

All of a sudden, you have elections and then a new government comes in and changes everything. So with the Mali's management team, being aware

of that, I feel quite confident that they can manage that quite well. And I think that's all we have to say with that. Have a great day and see you in the next one. Thanks for listening to TIP. Follow the Investors Podcast on your favorite podcast app and visit theinvestorspodcast.com for show notes and educational resources. This podcast is for informational and entertainment purposes only and does not provide financial, investment, tax or legal advice. The content is impersonal and does not consider your objectives, financial situation or needs. Investing involves risk including possible loss of principle and past performance is not a guarantee of future results. Listeners should do their own research and consult a qualified professional before making any financial decisions. Nothing on this show is a recommendation or solicitation to buy or sell any security or other financial product.

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